

Quarterly Report on Form 10-Q

Summit Renewable Energy, Inc. (NYSE: SREI)

For the quarterly period ended June 30, 2024 (Q2 fiscal year 2024)

SYNTHETIC SAMPLE DOCUMENT. This is a fictional company and every figure below is invented for testing purposes. This report is provided as a synthetic example and has not been reviewed by the Securities and Exchange Commission (SEC) or any auditor.

Item 2. Management's Discussion and Analysis

Total revenue was \$746 million for the quarter covered by this report, an increase of 10% compared with \$681 million in the comparable prior-year period. Growth reflected higher customer demand across our principal operating segments.

Gross margin was 46.2% for the period, compared with 43.8% in the comparable prior-year period, reflecting changes in product mix, operating scale, and cost management initiatives.

Operating income was \$112 million, compared with \$89 million in the comparable prior-year period. Operating expenses increased as we continued investing in technology, personnel, and growth initiatives.

Net income was \$77 million, compared with \$61 million in the comparable prior-year period.

Segment Results

Revenue and operating income by reportable segment for the period were as follows.

Segment	Period Revenue	Prior-Year Revenue	Period Operating Income
Solar Generation	391	348	61
Wind Generation	241	226	38
Energy Storage	114	107	13

Solar Generation was the largest segment by revenue, contributing \$391 million during the period.

Condensed Consolidated Balance Sheets

Item	June 30, 2024	December 31, 2023
Total current assets	433,800	396,200
Total assets	3,182,400	2,984,700
Total current liabilities	371,600	344,900
Total liabilities	1,912,700	1,811,500
Total stockholders' equity	1,269,700	1,173,200

Total assets were \$3,182,400 thousand and total stockholders' equity was \$1,269,700 thousand at the end of the reporting period.

Condensed Consolidated Statements of Cash Flows

Net cash provided by operating activities was \$174 million, compared with \$143 million in the comparable prior-year period. Net cash used in investing activities was \$121 million, while net cash used in financing activities was \$37 million.

Item 1A. Risk Factors

Project economics depend on power prices, renewable energy incentives, financing conditions, and the availability of suitable development sites.

Weather conditions can affect electricity generation from solar and wind assets and may cause quarterly production to vary.

Construction and maintenance projects depend on equipment, contractors, interconnection capacity, and permitting.

Item 4. Controls and Procedures

Based on an evaluation as of the end of the period covered by this report, management concluded that the company's disclosure controls and procedures were effective. No change in internal control over financial reporting occurred during the reporting period that has materially affected, or is reasonably likely to materially affect, internal control over financial reporting.